

SavePredictedExams — SME

Economics

Higher level / Standard level

Paper 1

SME Predicted Paper Set — Advanced

1 hour 15 minutes

Instructions to candidates

- Do not open this examination paper until instructed to do so.
- You are not permitted access to any calculator for this paper.
- Answer **one** question.
- Use fully labelled diagrams where appropriate.
- The maximum mark for this examination paper is **[25 marks]**.

Answer one question.**1.**

(a) Using appropriate diagrams, explain how a monopolist may engage in third-degree price discrimination to increase its total revenue. **[10]**

(b) Using real-world examples, evaluate the view that regulation rather than nationalisation is the most effective way for governments to address the inefficiencies of firms with significant monopoly power. **[15]**

2.

(a) Explain, using an AD/AS diagram, how a combination of demand-side and supply-side shocks can cause stagflation in an economy. **[10]**

(b) Using real-world examples, discuss the view that economic growth is incompatible with environmental sustainability. **[15]**

3.

(a) Explain two barriers to economic development commonly faced by low-income countries. **[10]**

(b) Using real-world examples, evaluate the view that foreign direct investment (FDI) is a more effective strategy for promoting long-term economic development than foreign aid. **[15]**